

CHILE 2013

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

Chile has an unemployment insurance that is mandatory for dependant workers of the private system over 18 years old, who began a working relationship after October 2nd of 2002.

There is also an Unemployment Solidarity Fund, financed by employers and State contributions. The purpose is to finance the minimum benefits that the law guarantees to those members who do not have enough resources in their individual accounts at the time of being unemployed.

There is also an Unemployment Subsidy for those dependant workers not included in the unemployment insurance.

Source: <http://www.afcchile.cl/>

1.1. Average Worker wage (AW)

The average worker wage was 6,828,924 Chilean pesos in June 2013¹. Source: Superintendencia de Pensiones, Boletín Estadístico Electrónico N°215-June 2013

¹ Subject to the upper limit income for pension system contributions.

2. Unemployment insurance

Chile has an unemployment insurance that is mandatory for dependant workers of the private system (ruled by the Labour Code) over 18 years old, which began a working relationship after October 2nd of 2002. Incorporation is voluntary for those who signed a contract before that date. Are excluded from the insurance:

- Workers in private homes
- Workers subject to apprenticeship contract
- Workers under 18 years of age
- Workers have the status of pensioners, with the exception of partial disability pensioners
- Self-employed
- Employees governed by any other rule than the Labour Code (for example, public sector workers)

The monthly contribution depends on the member contract. In the case of fixed term contract, the entire cost of insurance is paid by the employer who must contribute 3% of monthly taxable income of the employee, with UF² 105,4³ top. Only 2.8% of the contribution is accumulated in the worker's individual account and the remaining 0.2% goes to the "Unemployment Solidarity Fund"⁴.

When it comes to an indefinite term contract, the employer must contribute 2.4% of monthly taxable income of the employee, with UF 105,4 top, and the worker 0.6% of that same amount. Only 1.6% of the employer contribution is payable on the worker's individual account and the remaining 0.8% is admitted to the "Unemployment Solidarity Fund". It should be noted that the contribution of 1.6% is deductible of the compensation to which the worker is entitled when it is fired "for the needs of the company".

The unemployment insurance benefits are related to the time quoted on the system, type of employment contract and the grounds for termination of the contract. Overall, the person who is fired or quits his job is entitled to make as many turns as the balance of the affiliate's account will allow, thereby, monthly decreasing.

Unemployment insurance also provides other benefits in health, family allowance and outplacement support through the operation of a National Employment Exchange and fellowship training.

In addition, when the worker retires can withdraw, tax-free, the total resources accumulated in their individual account. In case of death, their beneficiaries or heirs can withdraw the accumulated balance, with the same tax benefits.

2.1 Conditions for receipt

2.1.1 Employment conditions

Workers need to be unemployed to receive the benefits. All job losses are covered. However, to have access to the solidarity fund, which complements benefits when the accumulated savings are low, the separation had to be involuntary. These separations also include severance payments, which are one monthly salary per worked year, up to 11 monthly salaries. They are received in one payment and can be also negotiated between the employer and the worker at the moment the employment relationship started.

² UF: Unidad de Fomento (Promotion Unity) is a unity in chilean pesos with the inflation incorporated. The UF is changing every day because includes the inflation.

³ Approximately 2,4 millions of pesos.

⁴ Explained later on in the Unemployment Assistance Section

The employer finances severance payments. Savings in the unemployment insurance's individual account that were financed by the employer are used to pay for the severance payments when the separation responded to needs of the company (Art. 161 of the Labour Code).

To be eligible to get the solidarity fund unemployment benefits, the unemployed are required to register into a National Employment Database, to accept any training policy offered by the government and to accept any job offer provided by the government and that exceeds in 50% the last monthly salary.

2.1.2 Contribution conditions

They also need to satisfy other conditions that depend on the way contributions were made while the worker was employed. (1) Workers that contributed under a permanent contract need to have contributed for 12 months into the individual savings account since the affiliation to the system or since the last time benefits were financed by that account in a previous unemployment spell. It does not matter if these contributions were continuous or not. (2) Workers that contributed under a transitory contract are required to have contributed for 6 months under the same conditions described in (1) above.

If the balance in the individual savings account implies levels of unemployment benefits that are low compared to the alternative of complementing them with a redistribute fund called solidarity fund, the second option can be chosen by the unemployed. How these amounts are computed is described in 2.2.1. To access the solidarity fund, the worker had to contribute to the system for 12 months since the affiliation to the system or since the receipt of the last unemployment benefit, within the past 24 months. The last 3 contributions need to be continuous and with the same employer. This fund cannot be used more than two times in the last 5 years.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Workers have the right to make so many monthly withdrawals from their account balance as their individual savings permits. The amount of money corresponds to the percentage of the average salary of the last 6 months for fixed-term employees and 12 months for permanent contract employees prior to dismissal, according to the following table.

Month of Unemployment	Replacement Rate
First	50%
Second	45%
Third	40%
Fourth	35%
Fifth	30%
Sixth	25%
Seventh or over	20%

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

In addition, workers entitled to unemployment insurance maintain health benefits through FONASA (public health financier) and the Family Allowance⁵ while collecting the benefit.

Those who start a new job can choose to get an additional monthly benefit that follows the rules in 2.2.1 or to save that amount in the individual savings account.

2.3 *Tax treatment of benefit and interaction with other benefits*

The contributions, withdrawals and interest earned are exempt from taxes.

2.4 *Benefit duration and waiting periods*

Workers have the right to make so many monthly withdrawals from their account balance as their individual savings permits.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

Not available for people under 18th years old.

2.5.2 *Older workers*

If the worker is never unemployed, may withdraw in a single turn all funds without paying taxes at the moment of his retirement.

Not available for old-age pensioners.

2.5.3 *Others if applicable*

⁵ Financial Benefit assigned to workers for each of the people living at their expenses that comply the requirements established by law.

3. Unemployment assistance

The unemployment insurance has a solidarity fund, financed by employer and state contributions, to fund the minimum benefits that the law guarantees to those members who do not have enough resources in their individual accounts at the time of being unemployed.

There is also an unemployment subsidy, which is a sum of money given to the worker who has lost their job through no fault of their own. All dependent workers may apply, except those allocated to the unemployment insurance scheme. The subsidy is paid for each day that remains unemployed with a maximum of 360 days.

3.1 Conditions for receipt

Unemployment Solidarity Fund

Workers under the unemployment insurance scheme are entitled to receive benefits from the Unemployment Solidarity Fund, if they meet the following requirements:

- Certify monthly the unemployed status.
- The resources of the individual account are insufficient to finance a benefit according to the amounts set by law:

Month of Unemployment	Minimun Amount ⁶ for 2013
First	\$ 108.747
Second	\$ 90.211
Third	\$ 79.089
Fourth	\$ 69.204
Fifth	\$ 59.317
Sixth ⁷	\$ 49.431
Seventh	\$ 49.431

- Have 12 contributions in the past 24 months. The last three quotations must be continuous with the same employer.
- The employment contract has been terminated by agreed deadline for completion of the work or service which gave rise to the contract, a fortuitous event, force majeure or because of needs of the company.

The benefit from the Solidarity Fund is automatically suspended if the worker:

- Loss his unemployed status (find a new job)

⁶ The values shall be adjusted on February 1st of each year, in 100% of the variation experienced in the previous calendar year by the Index of Consumer Prices, as determined by the National Institute of Statistics or the body that replaces it. Moreover, this value will be adjusted on the same occasion indicated above, at 100% of the variation experienced in the previous calendar year, by the index of real wages determined by this body. These values will be adjusted by the wage index referred to above, provided that the change is positive.

⁷ Sixth and Seventh months are paid only if the national unemployment rate, published by the National Institute of Statistics, exceeds by 1 percentage point the average rate of the four previous years.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- Reject a job without good cause whose remuneration is equal to or greater than 50% of the last salary received.
- Rejects without cause a training grant offered by the Municipal Offices of Employment Information or leaves a course before completion.

Unemployment Subsidy

The unemployment subsidy covers workers that are not covered by the Unemployment Insurance System, a group that is expected to decrease over time. As such, this scheme is not included in the modelling.

Workers under the unemployment insurance scheme entitled to receive the unemployment subsidy must meet the following requirements:

- Being unemployed for reasons beyond their control.
- Have impositions for at least 52 weeks or 12 months, continuous or discontinuous, in any pension system within two years prior to the date of the layoff;
- Being registered in the Unemployment Records that each pension institution must keep and in the municipality, in order to assign him relief work for the benefit of the community
- Not be incorporated to the Unemployment Insurance System

The unemployment subsidy is suspended if the worker rejects a job offered by the National Training and Employment Service without cause, unless the wage offered is less than fifty percent of his last income; or if he refuses to perform the work assigned by the Municipality.

3.1.1 Employment conditions

For both unemployment solidarity fund and subsidy, there are not explicit employment conditions. But, because the insurance and the allowance are only for dependant workers, in practice contribution conditions are employment conditions as well.

3.1.2 Contribution conditions

Unemployment Solidarity Fund

The worker must register 12 contributions to the Unemployment Solidarity Fund in the 24 months prior to dismissal, to be entitled to its benefits. Also, the last 3 should be continuous contributions credited with the same employer that may have been paid for months other than those immediately prior to dismissal.

Unemployment Subsidy

Within the unemployment insurance system, for the unemployment subsidy the worker must have impositions for at least 12 months, continuous or discontinuous, in any pension system two years prior to the date of the layoff.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Unemployment Solidarity Fund

Beneficiaries are entitled to receive a maximum of 5 withdrawals in the case they were employed under a permanent contract and 2 withdrawals in the case of employees with fixed term contract.

Exceptionally, workers are entitled to a sixth and seventh withdrawal if had an indefinite contract or third and fourth if had fixed-term one, if the unemployment rate published by the National Institute of Statistics exceeds by one percentage point the average rate over the last 4 years.

The replacement rate will be calculated based on the average of the 12 salaries before the end of the employment relationship, with minimums and maximums, according to the following table (Source: <http://www.afcchile.cl/frameset.asp?orden=5> and http://www.spensiones.cl/portal/regulacion/582/articles-8746_recurso_1.pdf)

Month of Unemployment	Replacement Rate	Minimum Benefit (2013)	Maximum Benefit (2013)
First	50%	\$ 108.747	\$ 234.794
Second	45%	\$ 90.211	\$ 211.315
Third	40%	\$ 79.089	\$ 187.835
Fourth	35%	\$ 69.204	\$ 164.356
Fifth	30%	\$ 59.317	\$ 140.877
Sixth	25%	\$ 49.431	\$ 117.397
Seventh	25%	\$ 49.431	\$ 117.397

These amounts are financed first with the individual account balance and complemented with the solidarity fund.

The values are adjusted on February 1st of each year, in 100% of the variation experienced in the previous calendar year by the Index of Consumer Prices and the Index of Real Wages, as determined by the National Institute of Statistics, only if the change is positive.

Unemployment Subsidy

Workers which are not covered by the Unemployment Insurance System (that is those who have not initiated or reinitiated labour contracts after October 2002, are entitled to receive an allowance for periods of 90 days, renewable if it is established that persists in his unemployed condition, to a total maximum of 360 days. The amount is monthly decreasing over time according to the following⁸:

Period	Subsidy per month
First 90 days	\$17.338
Between 91 and 180 days	\$11.500
Between 181 and 360 days	\$8.669

3.2.1.1 *Irregular additional payments*

There are no irregular additional payments.

3.2.1.2 *Obligations of family members*

⁸ Source: <http://www.ips.gob.cl/trabajador-46832/ingresos-minimos-y-tasas>

There are no obligations for the family members.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

In addition, workers receiving fund from the Solidarity Fund or from the Unemployment Subsidy maintain health benefits through FONASA (public health financier) and the Family Allowance⁹ while collecting the benefit.

3.3 *Tax treatment of benefit and interaction with other benefits*

The payments of the unemployment insurance, including the Solidarity Fund, are exempt from taxes.

The unemployment Subsidy is not considered income for any legal purpose, therefore is exempt from taxes.

3.4 *Benefit duration and waiting periods*

Unemployment Solidarity Fund

Beneficiaries are entitled to receive a maximum of 5 withdrawals in the case they were employed under a permanent contract and 2 withdrawals in the case of employees with fixed term contract.

Exceptionally, workers are entitled to a sixth and seventh withdrawal if had an indefinite contract or third and fourth if had fixed-term one, if the unemployment rate published by the National Institute of Statistics exceeds by one percentage point the average rate over the last 4 years.

The worker cannot receive this subsidy more than twice, in a period of 5 years.

Unemployment Subsidy

Workers which are not covered by the Unemployment Insurance System (that is those who have not initiated or reinitiated labour contracts after October 2002, receive the subsidy for periods of 90 days, renewable if it is established that persists in his unemployed condition, to a total maximum of 360 days.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

The Solidarity Fund is not available for people under 18th years old, unlike the unemployment subsidy.

3.5.2 *Older workers*

Not available for old-age pensioners.

⁹ Financial Benefit assigned to workers for each of the people living at their expenses that comply the requirements established by law.

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3.5.3 *Others if applicable*

4. Social assistance

Social assistance is carried out by the central government through the Ministry of Social Development, primarily through a program called “Chile Solidario”

Alongside with limited cash transfers, "Chile Solidario" gives the beneficiary families psychosocial support that is personalized through a system of regular visits to each household. The fundamental role of Family Support is to become a liaison between the family and the public and private social promotion in areas such as: identification, health, education, family dynamics, habitability, Work and Income. This support lasts 24 months, becoming an incentive to leverage the strength of the family as well as assistance in the pursue of their goals.

[The OECD’s 2013 Economic review on Chile, provides an accurate and thorough description on Chile’s Cash transfers (Chapter 1).]

On 2012, the Ingreso Etico Familiar (IEF) bill was approved in Congress, and started its implementation on 2013. Also, the temporary transfer program which served as a transition to IEF (Asignacion Social (AS)) prevailed on 2013.

Following the design in mind for IEF, AS consisted of a set of additional benefits granted to ChileSolidario families consisting of: conditional and unconditional cash transfers, a bonus for academic performance of students and subsidy to wages of women under specified thresholds.

The next sections of this document will include the amounts and requirements of these transfers alongside the original ChileSolidario benefits that were already in place, and those of the Ingreso Ético Familiar programme.

4.1 Conditions for receipt

Chile Solidario and Ingreso Etico familiar are targeted to families in extreme poverty, which implies a score below 4.213 in Ficha de Proteccion Social (the proxy means test used in Chile to assign social benefits).

Specifically, Ingreso Ético Familiar is targeted to extremely poor families according to the Ficha de Protección Social, and for people who meet the following:

- Having 65 years old or older, living alone or with another person and in conditions of extreme or vulnerable conditions.

- Living in the streets.

- Being underage with parents deprived of liberty, in which case his carer can also be beneficiary of the IEF.

4.2 Calculation of benefit amount

Chile Solidario

4.2.1 Calculation of gross benefit

Its benefits are:

- i. Psychosocial support that allows access to all the benefits it delivers social network (education, health, housing, training, employment and others).
- ii. Guaranteed access to cash benefits if they meet the necessary requirements.
- iii. Preferential access to Social Promotion programs, Employee Benefits and Welfare, which include remedial education programs and job skills, technical aids for people with disabilities, drug prevention and rehabilitation, care for family members at-risk of domestic violence, among others.

Ingreso Ético Familiar

Its benefits are:

- i. The IEF provides several unconditional cash transfers for families involved in the programme, such as:
 - a. “Bono Base Familiar”: the amount of this monthly cash transfer depends on the sum of other benefits that the family perceives. It lasts for 24 months at the most.
 - b. “Bono de Protección”: Benefits decrease over the first 24 months according to the following table:

Month 1 to 6	\$14.400
Months 7 to 12	\$10.972
Months 13 to 18	\$7.542
Months 19 to 24	\$8.426

- ii. In addition to the unconditional transfer described in (i), IEF granted two conditional cash transfers for families participating in the program:
 - a. School attendance: \$8.000 per child (between 6 and 18 years old) per month as long as school attendance in 2012 was at least 85% (paid in march 2014)
 - b. Health checkups for children: \$8.000 per child (under 6) per month as long as attendance to regular health checkups is certified
- iii. Also the IEF considers conditional cash transfers for people within the 30% most vulnerable population of the country. These are:
 - a. Reward for academic performance: \$51.500 per child in middle school and high school (11 to 18 years old) which finished 2013 school year within the top 15% of their schools promotion. For children within the top 30% of their schools promotion, but below the top 15% of them, the transfer comes to \$30.900 per child. The bonus was paid in September 2014
 - b. Bono Trabajo Mujer (BTM): The BTM is targeted to employed woman, between the ages of 25 and 59, who belong to the 35% most vulnerable population, according 75% to the Ficha de Protección Social¹⁰ and 25% to an Employment Index¹¹.

¹⁰ Which is the tool for assessing the families' socioeconomic conditions in Chile.

When the gross monthly earnings are equal to or less than \$391.442, the subsidy is equal to 30% of the gross monthly earnings. The amount paid to the employee is 2/3 of the total benefit, while the difference is paid to the employer (1/3 of the total benefit).

The BTM payment for the employed woman is limited for four continuous years, and is paid yearly (at the 2nd semester of the year after the income was received by the employee).

The amount of the subsidy paid to the worker was determined on July 2013 as follows:

- 20% of total wage for women with monthly wages under \$173.974
- 20% of \$173.974 for women with monthly wages between \$173.974 and \$217.468
- $0.2 * \$173.974 - 0.2 * (\text{actual wage} - 217.468)$ for women with monthly wages between \$217.468 and \$391.442

This subsidy is therefore inversely proportional to income in the second and third bracket and it declines gradually to \$0 for incomes above \$391.442. Needless to say that the design attempts to follow a negative income tax framework.

4.2.1.1 *Irregular additional payments*

It guarantees the following traditional cash benefits to families who join the “Chile Solidario”:

- i. Single Family Subsidy (SUF) to less than 18 years, subject to school attendance.
- ii. Basic Solidarity Pension former welfare pensions (PASIS) of old age or disability.
- iii. Grant Water Consumption (SAP) to 100% of 15 cubic meters of consumption.
- iv. School Retention Grant Program. Of Law No. 19,873 of 2003 and Preferential Educational Grant.
- v. Subsidy for obtaining the Identity Card.

4.2.1.2 *Obligations of family members*

To stay in Chile Solidario the obligations are:

¹¹ For this matter, the employment index is equal to the quotient between total household's income within the past 12 months and the number of people of the latter. In order to assess the worker's annual income, a quotient between the worker's income within the past 12 months and the total amount her contributions for the same period.

- i. The family must not misuse the benefit.
- ii. They should not abandon or suspend psychosocial support.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

No.

4.3 *Tax treatment of benefit and interaction with other benefits*

No.

4.4 *Benefit duration and waiting periods*

No.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

In Chile Solidario there is special treatment to provide protection to children whose parents have been deprived of freedom and whose goal is to provide support for optimal development of children, accompanied by an adequate risk control, through tutors trained in repair and prevention.

Also, as mentioned above, the Ingreso Ético Familiar includes bonuses for academic performance and school attendance of middle and high school students. Along with that, it includes health checkups for children.

4.5.2 *Older workers*

In Chile Solidario there is special treatment that links to adults over 65 who live alone and in poverty and vulnerability, with public services and social networks of their common article about “Chile Solidario”. In this way, they are guaranteed subsidies and preferential access to social services relevant to their needs.

4.5.3 *Others if applicable*

In Chile Solidario there is special assistance to people on the street that offers personalized psychosocial support services provided by NGOs specialized in working with these people. The program

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provides subsidies and guaranteed old-age welfare pensions and disability benefits, family allowances and the allowance only to pay the cost of issuing identity cards, as well as free in the processing of criminal background regularization.

As mentioned above, the Ingreso Etico Familiar includes a Bono Trabajo Mujer targeted to employed woman, between the ages of 25 and 59, equal to 30% of the gross monthly earnings. 2/3 of the total benefit is paid to the employee, while the difference is paid to the employer (1/3 of the total benefit).

5. Housing benefits for rented accommodation

Housing subsidies in Chile are a direct help to families who need support to finance the purchase or building the first home, there are no benefits associated with the rent (lease) housing. In addition, subsidies are seeking partners to support improved housing or existing neighborhoods.

5.1 Conditions for receipt

No.

5.2 Calculation of benefit amount

No.

5.2.1 Calculation of gross benefit

No.

5.2.2 Income and earnings disregards

No.

5.2.3 Costs eligible for housing benefits

No.

5.3 Tax treatment of benefit and interaction with other benefits

No.

5.4 Treatment of particular groups

5.4.1 Young persons

No.

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5.4.2 *Older workers*

No.

5.4.3 *Others if applicable*

No.

6. Family benefits

The “Family Allowance” is paid on a monthly basis to any employee making social security contributions and to pensioners, for their legally recognized dependants. The main originators of family allowance are: the worker’s dependent wife, disabled husband, children under the age of 18 and unmarried children above that age if they are studying, up to 24 years of age, a widowed mother, and parents, grandparents and great grandparents of the worker who are over 65 years of age.

The amount of the payment depends on the number of dependants and the beneficiary’s level of income according to the table below. The modeling assumes that the benefit is assessed on the spouse with the lower earning level where both spouses are working.

2013 Transfer by Dependant	
Annual Income Range (CLP)	Annual Payment (CLP)
0 – 2 644 248	103 512
2 644 260– 3 862 212	63 528
3 862 224– 6 023 736	20 076
6 023 748 and over	0

<http://www.biblionet.cl/tablas/datos/tabla8-2013.htm>

As well as the “Family Allowance”, the government provides the called “bonus per child”, which is a cash amount to improve women pensions. This benefit is for all women not pensioners at July 2009, regardless of employment status, social and economic. The “bonus per child” is not included in the modelling as it is like a one-off maternity bonus.

The contribution made by the State for each child is 10% of the sum of 18 minimum wages exists in the month of birth of the child (currently are USD\$ 6.951), which is deposited in the individual capitalization account for pension or distributed in monthly payments, as applicable, which improves the final amount of the pension. Since the child is born, the bond begins to be profitable every month until the mother reaches 65 years of age.

6.1 Conditions for receipt of “bonus per child”

- Be mother or foster child.
- Be affiliated with an AFP or a Basic Solidarity Pension beneficiary, or receive a survival pension (widow) without being affiliated to a pension scheme, provided that you also have the right to Solidarity Pension Contribution.
- Be 65 years or older.
- Have lived at least 20 years in Chile, and have 4 years of residence in the last 5 years immediately preceding the date of filing.
- Have retired from July 1, 2009.

7. **Childcare for pre-school children**

For the following categories:

- Day Care: from 0 to 23 months.
- Middle Level: years 2 to 3 and 11 months
- Transition Level 1 (Pre - Kinder): years 4 to 4 and 11 months
- Transition Level 2(Kinder): years 5 to 5 and 11 months.

Fraction of children in childcare		
	N	%
Day Care	86,144	19%
Middle Level	211,604	42%
TL1(Prekinder)	172,505	71%
TL2(Kinder)	217,272	95%
Total	687,525	50%
Source: Mineduc and CASEN		

Compulsory education (1st year of elementary school) begins at age 6.

7.1 ***Out-of-pocket childcare fees paid by parents***

All government provided pre-school services are free.
There is no information on private schools.

Free preschool education for the infants in the 40% lowest income families.

7.2 ***Child-care benefits***

None.

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

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7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. Employment-conditional benefits

Two programs:

- “Bonificación a la contratación de mano de obra” (bonus for hiring formal labor), BCM. The BCM is not included in the modelling as it is paid to employers.
- “Subsidio al Empleo Joven” (Young Employment Subsidy), SEJ (18-24)
- “Bono al Trabajo de la Mujer” (Bonus for worker women), BTM (25-59), explained on Chapter 4.

8.1 Conditions or receipt

- BCM: Employer receives 30% of the payroll minimum wage of a formerly unemployed individual. This subsidy is target to adults in the 40% lowest income families of the population.

- SEJ: The beneficiaries have to be between 18 and 24 to be eligible, and belong to the 40% most vulnerable population. To receive the benefit, the workers have to meet the following requirements:

- Belong to the 40% most vulnerable population, according to the Ficha de Protección Social.
- Have a monthly wage below \$391.442.
- Do not have debts on contributions for pensions and health insurance.
- Do not work on a public institution.

Those beneficiaries who have access to the SEJ, will be required to have completed High School education when turning 21 years old, in order to keep receiving the benefit.

8.2 Calculation of benefit amount

Subsidio Empleo Joven

When the gross monthly earnings are equal to or less than \$391.442, the subsidy is equal to 30% of the gross monthly earnings. 2/3 is paid to the worker and 1/3 to the employer.

The amount of the subsidy paid to the worker is similar to the Bono Trabajo Mujer, as follows:

- 20% of total wage for workers with monthly wages under \$173.974
- 20% of \$173.974 for workers with monthly wages between \$173.974 and \$217.468
- $0.2 \times \$173.974 - 0.2 \times (\text{actual wage} - 217.468)$ for workers with monthly wages between \$217.468 and \$391.442

8.2.1 Calculation of gross benefit

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8.3 *Tax treatment of benefit and interaction with other benefits*

None

8.4 *Benefit duration*

- BCM: 6 months

- SEJ: Permanent while employed and in the age range (18-24).

8.5 *Treatment of particular group*

8.5.1 *Young persons*

- SEJ

8.5.2 *Older workers*

None

8.5.3 *Others if applicable*

9. Lone-parent benefits

None. There are indirect benefits to single parents through getting priority in means-test that are used to target most of the safety net benefits.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

There is a general allowance equivalent to 13.5 UTA¹² that is deductible from the monthly income (around MM CLP 6.51 pesos). Also, there is another relief for social security contributions in which employer's compulsory social insurance contributions are deductible from income tax payments regardless of whether these payments are paid to government or private health insurers.

There are two non-standard tax reliefs related to Voluntary Contributions and Voluntary Pension Fund Savings (APV, Ahorro Previsional Voluntario) and Housing Mortgage Loan Payments (DFL2).

Additionally, recipients of solidarity pensions who live in poor socio-economic conditions are not affected to health contributions (in the case of full time workers this tax is equivalent to 7% of the monthly income).¹³

10.1.1.2 Standard tax credits

10.1.2 Income tax schedule (central government income tax)

For full time workers income taxes are applied on monthly income on the basis of the following tax rates. These payments are paid by employers (AT2013).

Taxable Income (UTA)	Taxable Income (MM CLP)	Tax Rates
0-13.5	0-6.51	0
13.5-30	6.51-14.47	0,05
30-50	14.47-24.12	0,10
50-70	24.12-33.77	0,15
70-90	33.77-43.42	0,25
90-120	43.42-57.9	0,32
120-150	57.9-72.37	0,37
150 and over	72.37 and over	0,40

In the case of self employees income taxes are applied on monthly income on a basis of 10%. These payments (PPM, Pagos Previsionales Mensuales) can be paid by the employer or the employee depending on whether the employer is obligated to pay social contributions or not.

¹² During 2013 UTA (*Unidad Tributaria Anual*) was equivalent to CLP 482.472. The July 2013 value of 481020 is applied in the model

¹³ Source: http://www.previsionsocial.gob.cl/subprev/?page_id=251

10.1.3 *State and local income taxes*

No taxes apply to income at state or local government.

10.2 *Treatment of family income*

Each family member declares and pays taxes separately.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

In the case of dependent workers whose ages are less than 60 and 65 years old for women and men respectively, the employers should pay 10% of the gross income in order to finance social contributions for the pension funds and 7% of their gross monthly income to finance health services, both contributions estimated over a maximum monthly income 66 UF¹⁴. The modelling also assumes a management fee of 1.55 per cent of gross income.

Also, full time workers whose job contracts began after October 2002, should contribute to the Unemployment Insurance System with 0.6% of their gross monthly income. This payment has an upper limit of MM CLP 2.45 (UF 105,4). For all of those workers whose job contracts began before October 2002, the affiliation to the UI is optional.

10.3.2 *Contributions payable by employers*

Employers should pay the equivalent to 0.95% of their employee's taxable income in order to finance occupational accidents (it can also reach 2% for dangerous activities) and disease insurance policy. Also, employers should pay 2.4% of their employees' income to finance unemployment insurance. In the case of workers with fixed contracts, employers should pay 3% of the gross income (2.8% correspond to payments for the employee's individual account and the 0.2% correspond to contributions to the solidarity fund).

10.3.3 *Payroll taxes*

10.4 *Treatment of particular groups*

10.4.1 *Young persons*

¹⁴ UF = 23.267CLP in December, 2013.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4.2 *Older workers*

Workers, whose ages exceed the mandatory age for retirement and continue working, are only required to contribute to the pension fund as their payments to social security. Therefore, they are not required to contribute the funds for payment of social security pensions.¹⁵

10.4.3 *Others if applicable*

¹⁵ <http://www.safp.cl/573/article-3800.html>

11. Part-time work

11.1 *Special benefit rules for part-time work*

From the tax perspective, part-time workers are those who generate income associated to the emission of fee slips (boletas de honorarios). They do not have long term contracts and are not dependent workers. They are independent and provide services. They can receive tax benefits associated with Voluntary Pension Fund Savings (APV, Ahorro Previsional Voluntario) and home purchases with mortgage credits.. On the other hand, part time workers can deduct from their income tax payments the annual amounts of their interest payments associated with mortgages obligations of purchasing new houses under the DLF2 legislation.

11.2 *Special tax and social security contribution rules for part-time work*

From the perspective of social contributions, part time workers are not obligated to make social contributions related to health and pensions. However, recent modifications establish that from 2015 there will a mandatory affiliation to the pension fund system and from 2018 payments related to health insurance will be mandatory too.

Workers who generate fee slips are required to pay social contributions if their annual taxable income is at least the minimum income at December of the year they are generating revenues (from July 2012 to June 2013, the minimum income is \$193.000 per month¹⁶). The annual taxable income corresponds to 80% of the sum of the gross revenues received during the calendar year, without considering any kind of discount. (Source: <http://www.previsionsocial.gob.cl/cotizacion-honorarios/pagina3.html>)

¹⁶ Source: http://www.leychile.cl/Consulta/listado_n_sel?_grupo_aporte&sub=807&agr=2&comp

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced during 2013

See section 4.

12.2 Future policy changes announced in 2013

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.